

is to boost investments. Most projections suggest that consumption spending may remain somewhat subdued this year. For overall growth, stepping up of the investment spending is critical. This could include a variety of measures, from short-term tax breaks for big-tag green-field investments to administrative focus on clearing last mile hurdles for large projects.

One quick-fire way continues to be a counter-cyclical push to investment by the government itself. The new government will need to continue with the fiscal stimuli announced in December and January. Although that could imply further widening of fiscal deficit, it may be inevitable in the short-term. Government spending could be focused on infrastructure projects, including rural infrastructure that will augment long-term competitiveness of our economy. As growth revives, the government could revert to the path of fiscal discipline.

But efficacy of these measures will require tactical steps in creating room for credit and for making money affordable. The RBI has taken several steps in the last six months to ease the pressure on liquidity and to bring down the cost of funds. Despite these efforts, lending rates have not come down proportionately. This must be followed up. While western economies have exhausted the option of using interest rates to stimulate demand India still has room to use this tool to boost growth. We must not lose sight of this opportunity.

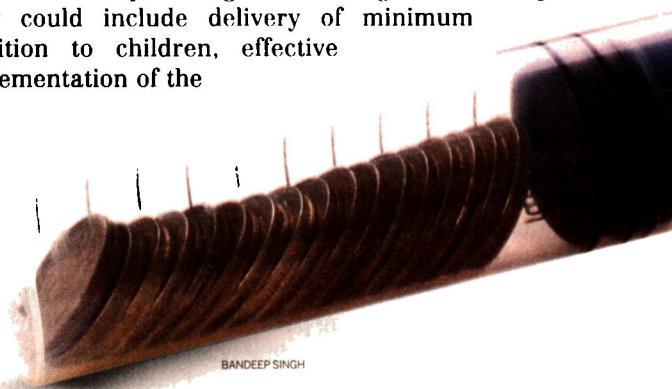
Moving on from short-term pain relievers to the sustainability of high growth, it may be worthwhile to remember that we have witnessed 9 per cent-plus growth for three consecutive years from FY'06 till FY'08. This was well supported by a rise in savings rates to 35 per cent of the GDP. The other contributors to this phase included strong export growth and exuberance about the "India story" within global capital. Currently, we do not know if these contributors will continue to stay with us over the next three to five years. Bear in mind the fundamental drivers in terms of favourable demographics, high savings rates and improved competitiveness of Indian industries give us an edge. In fact, a sustained higher growth needs to play upon these fundamental drivers and unlock them wherever required.

We will need to really explore some big-bang plans of investment in physical infrastructure. For instance, one can think of raising funds for infrastructure investment through a bilateral agreement with China to channel a portion of its massive foreign exchange reserves. China seems to be already concerned about parking the bulk of its reserves in US dollar assets. It may be time again to tap the savings of NRIs. Part of these funds can be channelised

as equity contribution for public-private core projects.

Besides financing, large projects sometimes get stuck into issues of land acquisition and other clearances. The government could explore creating a comprehensive and fair compensation policy for land acquisition and a standard operating process on clearance issues with time-bound resolutions, to avoid undue delays.

Social infrastructure is as much, if not more, important as physical infrastructure for ensuring sustainable growth. Besides committing more financial resources to social infrastructure such as health and education, the government may also look at governance issues to improve the effectiveness of delivery of its services in these areas. Also, the private sector may be encouraged to partner in certain areas; for example, technical education. The development agenda on the government's priority could include delivery of minimum nutrition to children, effective implementation of the



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goal of universal primary education, improving the quality and reach of healthcare, making water and electricity available to all, improving sanitation and drainage systems, and putting in place economic safety nets.

Additionally, we need to scout for sector-level enablers that can create a big impact on investment and employment, such as the implementation of the National Mineral Policy to encourage investment in mining sector, incentives for increasing fertiliser capacities, supporting Indian companies to acquire natural resources (especially energy) abroad, creating a super-ministry for transportation that can take a holistic view of transport infrastructure and so on.

The downturn is possibly a reminder to us that we still have an unfinished agenda with respect to reforms, policies, infrastructure and institutions, in case the good times made us complacent about these issues. This may be the best time to focus on all these issues so that we emerge stronger when the economic environment takes a turn for the better. ■